(20) Segmentation
Definition: means dividing customers into groups based on shared characteristics like age, location or spending habits. Different groups behave differently, so targeting each one separately gives better results.
Example: A mobile network might segment customers into 'heavy data users', 'voice-only users' and 'price-sensitive switchers' — then create a different promotion for each group.
Source: McKinsey & Company (2023).

## 03 Customer and Sales KPIs

(21) Conversion Rate
Definition: Is the percentage of people who take a desired action out of those who had the chance to — like buying, signing up or downloading. A higher rate means marketing is doing a better job of turning interest into results.
Example: If 1000 people visit an online store and 45 buy something, the conversion rate is 4.5%
Source: Google Analytics Help Centre (2024). About conversion events. support.google.com/analytics

(22) Customer Acquisition Cost (CAC)
Definition: CAC is the average cost of gaining one new customer — total marketing and sales spend divided by the number of new customers in that period. The CLV:CAC ratio is a key health check; ideally a business earns at least 3x more from a customer